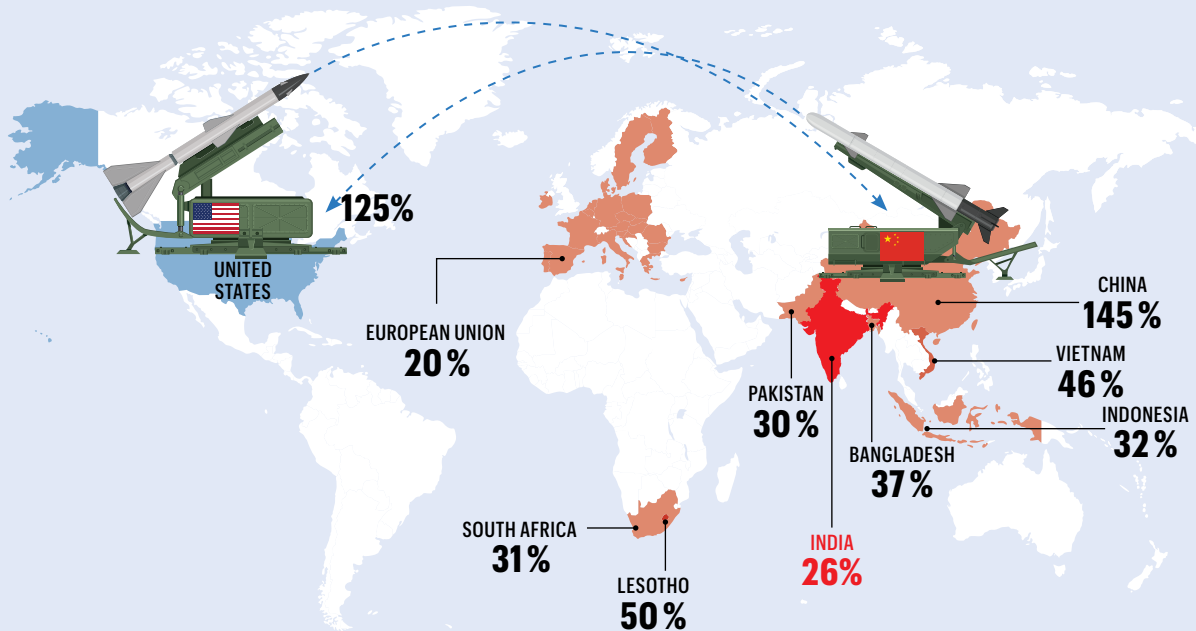




TRADE WAR

- The US imposed ad valorem tariffs on 60 countries on April 2
- But for the rate on China, all other tariffs have been paused for 90 days



GRAPHICS BY RAJ VERMA

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is fast changing. The recent trade tariff-related measures have exacerbated uncertainties, clouding the economic outlook across regions, posing new headwinds for global growth and inflation,” noted RBI Governor Sanjay Malhotra after the meeting of the Monetary Policy Committee that cut the policy repo rate by 25 basis points to 6%. The RBI has cut its growth projection by 20 basis points to 6.5% for FY26 from the previous 6.7%. Malhotra noted that higher tariffs will have a three-pronged impact—dampening spending and investment decisions of businesses and households, denting global growth that would impede domestic growth and lastly, hurting net exports.

Sahai says companies will have to wait and watch the evolving situation for the next few weeks to assess if new orders start. “The

THE TARIFF IMPACT

- The 26% tariff, if applied, is neutral for sectors like pharma, electronics, textiles

SECTOR	BEFORE RECIPROCAL TARIFFS (%)	AFTER RECIPROCAL TARIFFS (%)
Pharma	0	0
Passenger Cars and Light Trucks	2.5	25
Auto Parts	2.5	25
Textile	6-9	33-36
Telecom	0	26
Gems and Jewellery	5.5 to 13.5	32.5-40.5
Oil and Gas	5.2	5.2
Agriculture	4-5	31-32

SOURCE GTRI